# MEMORANDUM

To: All Traders

From: Paul Jones

Date: December 20, 1994

Re: Risk Control

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1995 presents great challenges and opportunities for me. As I will be entering 1995 with the smallest number of assets under management in three years, opportunity looms large. In recognition of this opportunity, I have increased Tudor's exposure to my trading relative to the past. As such, risk control becomes of paramount importance as a drawdown will more materially impact the firm than in years past. Where a 10% drawdown from original capital or starting equity was historically tolerable, the increased leverage to the firm will force me to have tighter risk parameters. Therefore, my plan is to risk 2.5% to make 30%. The plan is simple and follows:

1) I will risk no more than 2.5% of original capital before a time-out is called. The time-out will entail, a) a written analysis of the actions leading to the drawdown (it may have actually been good risk-taking), b) a freeze on initiation of any new trades until this analysis is complete and a new risk control program is in place, c) a review of existing positions to ensure the execution of all stops will result in no more than a .5% slide in equity beyond the kick-out day's closing equity, and d) a written analysis of new risk control parameters that will not allow for more than a further 2% drawdown before another time-out is called.

2) If a further 2% drawdown in original capital occurs then another time-out will be called which entails, a) a complete liquidation of all trades beginning the day that the new 2% risk level is breached, b) a cessation of trading for the balance of the week during which the kick-out level is breached, c) a detailed analysis of the actions that led to the drawdown, d) a written outline of the new risk control procedures that will be affected that will not allow for more than a further 1.5% drawdown of original capital before a new time-out is called.

3) If the new 1.5% level is breached then the procedure outlined in #2 above should be followed again with a new kick-out point of a further 1% of original capital and so on.

The key to putting together a good year of trading is to never fall behind early in the year. I can only remember one instance when a trader has been down at mid-year and recovered to have a really good year. At best, people claw their way back to even which in itself is only a mental victory. Occasionally someone does turn around spectacularly at year-end but these are few and far between. It is so critical to be disciplined, patient, and precise in the early going. Similarly, it is just as important to press early profits into much more highly leveraged bets because that is the only possible way of having a home run year. I will add leverage as follows:

1) Historically, my net asset value fluctuates .62% for every 1% of gross dollar volatility exposure that I have in my positions. Therefore, until I generate a 2% return or reach a kick-out point, I will probably keep gross overnight and intraday dollar volatility under 1.5%. When profitability exceeds 2%, I will begin to increase my gross dollar volatility exposure by .75% for every 1% of profits above a +2.0% year until I reach a comfortable level. For me, in the past that has meant total gross positions in the neighborhood of 5% or 6% when I really felt strongly about a trade.

2) Until profits are at least 2%, I will not take more than 1% of dollar volatility into any number or event that I cannot control. Again, I will increase the dollar volatility going into numbers using a formula of .75 dollar volatility for every 1% of profits above 2%. I certainly do not want to gamble with my hard earned profits.

3) I will always have a trend portfolio, no matter what.

4) I will not enter any substantial position which does not have at least a 4 to 1 reward risk ratio.

5) I will treat profits radically different than I treat original capital (as defined by January 3, 1995 starting capital). I will be subject to normal procedures set forth in the Risk Control Manual with respect to a drawdown on profits.

Hopefully this program will enable me to aggressively leverage up if I am trading well. Similarly it forces me to constrain my trading if I am losing by making continually smaller bets. I am a strong believer that good trading begets good trading and bad trading begets bad trading. This program of leveraging and deleveraging forces one to recognize that discretionary trading is not like systems trading. Discretionary trading necessarily entails an unquantifiable and sometimes undetectable psychological element that implies traders have different levels of peak performance and perform at different psychological states over the course of any time period. If we could be completely aware of our psychological state then this leveraging and deleveraging process would not be necessary, for we would simply never trade unless we were at peak.

If any of you have any comments or questions please feel free to call me. I would appreciate any feedback.

PTJ:lag

# PAUL TUDOR JONES, THE INVINCIBLE TRADER
## THE "POWER 5"

*Five times a day on each and every trading day, I will break from the momentum of the moment and take control of all trading situations by reestablishing my vision, my game plan, and my invincible physiology. I will enter my Power Room, drink fresh water, take 3 deep abdominal breaths, and take the following 5 steps:*

1. **SEPARATE THE FOREST FROM THE TREES!**
   Review my principles for trading success:
   - Sentiment (if it looks bad, buy it; if it looks good, sell it).
   - Time (recognize how fast it moves away from low or high).
   - Price (implications of cross-over, extremes in volume, or violations of specific points).
   - Bias (explore that which is not obvious!).
   - Make the hard trade, not the obvious trade.

| Make certain you're asking the 3 critical questions: |
|---|
| 1. Is it easy? |
| 2. 5 to 1? |
| 3. Stops? |
| "Take pain!" "Take pain!" "Take pain!" |

2. **BE "MR. TOUGH" AND HOLD CONTEMPT FOR THE WEAK TRADER!**
   - Destroy the guy who can't make the hard trade!
   - Destroy the "Cookie Monster" and "Mr. Easy"!

****DO THIS NOW* BY BREAKING AWAY WITH AT LEAST 5 SWISH PATTERNS!

3. **VISUALIZE AND EXPERIENCE THE REWARDS AND THE PURPOSE OF MY WORK!**
   Refocus and get associated to what this 13-month process means to me and to all those I empower today and will empower in the future. Because of what I'm doing today, I will be able to give and contribute more for a lifetime!

4. **VISUALIZE NUMBERS!**
   Visualize achieving 12+ consecutive winning months! Visualize the growth and experience the excitement of your NAV growing. See the growth that has already occurred from 61,000 to 70,000. Now grow it from 70,000 to 75,000—now grow it to 80,000—now grow it to 90,000—now grow it to 100,000!

5. **"TAKE PAIN!" "TAKE PAIN!" "TAKE PAIN!"**

**DAILY SCHEDULE**

1. Morning — Before Going In to Work
2. 10:30 A.M.
   (10:35: Meet with Spencer to review strategies for the close of Europe. Counter "give backs"? Create "Take 'em" strategies.)
3. 12:00 Noon
4. 2:30 P.M. — End of Trading Day
   (2:35: Review U.S. strategies with Spencer. (Counter "give backs"? Create "Take 'em" strategies.)
   *Search for the mind-boggling pain.* Wednesdays: Analyze correlated
5. Before Bedtime

## SECTION I

### Trading Requirements

This risk control manual is in recognition of the fact that no trader can maintain quality performance over time without a systematic approach to risk-control in conjunction with risk-control rules that will not be violated at anytime. This is not to say that there are not times to take extraordinary relative amounts of risk. This is only to say that these instances should have a set of criteria that define them before they occur.

The basic tenets of Tudor's approach to risk control for a discretionary trader can be reduced to five rules that every trader must adhere to:

1. Traders must determine a volatility adjusted minimum unit size for each market (volatility adjusted unit sizes are discussed in Section II). For instance, one might choose 0.5% as a minimum exposure for trading all markets and add units depending on the degree of opportunity a market offers. The objective here is to ensure that position size perfectly reflects enthusiasm for a particular trade relative to other trades. It also focuses on per trade risk exposure as it relates to your equity. This is much more important than trying to define central bank policy, which at the end of the day is not going to impact rate of return as much as the ability to control the downside. Additionally, if one thinks and trades in terms of contracts rather than percent exposure, one is doomed to ultimately lose money because one loses sight of focusing on risk control which is all important.

2. <u>No trade can be entered without concurrently committing to paper a stop-loss and profit objective for that and any trade</u>. If possible, these stops should be given to an associate to ensure execution. Canceling stops almost inevitably leads to larger losses. Though it is not required, each and every trade should be thoroughly qualified on paper from a technical, fundamental, and sentiment standpoint.

3. <u>No trade can be entered unless the reward/risk ratio is greater than 4-to-1</u>. The reason that 4-to-1 has been chosen is twofold: a) slippage on losses is typically greater than one's original estimate and b) traders are generally wrong on their opinions. This allowance should not stop one from factoring in slippage in construction of reward/risk ratios. Also recognize that 4-to-1 typically works the best mathematically in a trade because profits are typically accepted at pre-determined limits (or worse, at the market) whereas taking losses is potentially an open-ended proposition because of execution slippage.

4. <u>At the close of everyday, every position should be re-evaluated on a reward/risk basis using the close as the "new" entry point</u>. All potential dollar rewards and all potential dollar risks should be summed up to create a portfolio reward/risk ratio to show on a daily basis the risk profile you are confronting on the following day. Clearly, the reward/risk ratio of every winning trade will move towards one at some point. The objectives here are to make one a) cognizant of how much potential for profit current positions allow and b) aware of the dynamics of risk in the portfolio at

every point in time, not just at initiation. This reward/risk ratio generally has to remain relatively high throughout the month if one is to win. Clearly, if one begins the day with a ratio between one and two, the account is at risk.

5. When a trader draws down from peak, a series of proactive pre-determined measures will be implemented to assist the trader in regaining profitable form. A self-evaluation process will be required to identify if the drawdown is the result of inappropriate trading behaviors or the result of the natural ebb and flow of market prices and profits and losses. Additionally, drawdowns will be accompanied by reduction in trading size, trading for liquidation only, and vacations, according to the guidelines listed in Section II. These guidelines are designed to keep traders from hurting themselves and regain good form. Just as Michael Jordan and Joe Montana need a coach, and a heavyweight boxer needs a standing eight count, so too does every trader need someone to help them in times of severe stress (i.e. during a drawdown).

## SECTION II

### Unit Sizes and Risk

Determining a pre-defined unit size is absolutely key to making money. Anyone who arbitrarily or intuitively buys or sells a "hundred," or "ten," or "one," is doomed to failure. That style of trading consciously or sub-consciously ignores maximizing profitability through a portfolio approach to trading and abandons scientific inquiry as a cornerstone for managing risk.

The application of Tudor's approach to risk control is designed to accomplish the following objectives:

1. Pre-defined risk control allows the trader to express his/her views on the particular market in a better, more consistent fashion. By equating risk among markets through unit sizes adjusted for the volatility of the individual market, a trader will be able to allocate a greater percentage of capital to those trades offering the greatest reward/risk ratio.

2. Pre-defined risk control allows the trader the flexibility to trade around a core position, while maintaining the initial, trend-following trade. This is accomplished by trading multiple, risk-adjusted units. As a market moves through a campaign, the reward/risk ratio for a particular position is dynamically changing each and every day. Trading in multiple units allows a trader to exit part of a position as these reward/risk ratios shift, so if by chance your trade strategy is wrong, you're not wrong on the whole position. This increased flexibility helps a trader avoid the all or nothing mentality that devastates so many traders.

3. Pre-defined risk control allows the trader to better define his/her downside exposure, thereby keeping him/her in the game longer.

One of the best ways to make money in a world of continuously leveraged bets is to figure out how not to lose it. Selecting an appropriate unit size takes this into consideration by recognizing how a trader typically takes losses on a given day and then preparing for the worst average daily loss. The two worst outcomes that can happen to a trader on any given day are: first, one can buy the high and sell the low in a market where one has no initial position (or vice versa) or secondly, one can come in with a position long, have a market gap down, and sell the low of that range (or vice versa). Recognition of this daily fact of life lies at the cornerstone of Tudor's approach to determing unit sizes because it assumes the worst on average. The volatility-adjusted unit size is calculated as follows:

1. The dollar value of each day's range (high to low) is calculated as well as the dollar value of the greatest deviation (high or low) from last night's close.

2. The greater of the above two figures is chosen and then averaged on a ten and sixty day basis. These numbers give one a short-term gauge of risk (critical in periods of uncertainty such as the outbreak of the Gulf War) and long-term guage of risk. These two averages are averaged again. The result is the dollar value used by Tudor in determining unit sizes for its customer trading and made available daily by the Research Department (see Appendix 1).

## How Much To Risk?

The determination of "how much to risk" is a continuing process of adjusting one's unit size per market to both one's capital and the volatilities of each market or market sector. Each month the trader should:

1. Take his/her beginning capital (e.g. $1,000,000)
2. Take 1% of the beginning capital (e.g. $10,000) and divide it by the average daily dollar volatility for each market. Thus, if the daily volatility for the U.S Bond contract is $726.04, one would set 14 contracts ($10,000/$726.04) as one's unit size for a 1% capital risk.
3. The actual number of contracts traded will depend on the capital risk of each trade. A minimum unit size should be established between 0.25% and 0.75% of one's capital.
4. Every trade should be thought of in units of risk.

While this establishes the risk per trade, the trader should be aware that trading across several markets <u>in the same direction</u> can increase one's exposure to a particular price move. For example, concurrent long positions in Soybeans, Bean Oil and Bean Meal should actually be considered (due to their high cross-correlations) a long position in the "Soybean sector" (Sector groupings are listed below). As a result, each trader must adhere to the following limits:

1. A maximum overnight risk of 3% of capital per sector or futures contract (or cash equivalent) can be taken.
2. A maximum intra-day risk of 6% of capital per sector or futures contract (or cash equivalent) can be taken.

3. A maximum of 1% of initial capital can be spent (received) on premium for purchased (sold) options positions per sector, in addition to (1) and (2).

4. A maximum of 3% of initial capital can be spent (received) on options in total over a month.

Futures contracts that are not mutually exclusive are listed below and grouped into sectors:

1) Australian Treasuries: Bonds and Bills
2) Grains: Soybeans, Bean Meal and Bean Oil
3) European Currencies: DMark, Pounds, Swiss and $ Index (remember, it is negatively correlated)
4) European Equities: DAX, CAC and FTSE
5) European Treasuries: Euromarks, Pibor, Short Sterling, Euroswiss, Bunds, Matif, Gilts, and Italian Bonds
6) Japanese Treasuries: JGB's and Euroyen
7) Metals: Gold and Silver
8) U.S. Treasuries: Bills, Bonds, Notes and other Treasury instruments
9) Energy: Crude Oil, Heating Oil, Gasoline and their London equivalents

## SECTION III

### Controlling Drawdowns:

Drawdowns from peak daily net asset value ("NAV") of 5%, 10%, 15%, 20% and 25% trigger specific rules. This program tries to instill a "make it and take it" type philosophy. We are trying to develop traders that can quickly recognize when to lever up and more importantly, when to delever. This is absolutely critical to a trader's success.

A. If a trader drops 5% from peak daily NAV, it would be prudent for a trader to re-evaluate his/her trading. This is completely voluntary and at a trader's own discretion. Traders should use their analysis to create their own personal warning system. No specific rules kick in at this time.

B. If a trader loses 10% from his/her peak daily NAV, the trader is required to follow these specific rules:

a) All positions are to be liquidated for one trading day. This allows trader to think clearly and objectively, unencumbered by the trades that initially created the problem. Exceptions must have management approval.

b) Trader is required to write a brief synopsis evaluating the trade analysis process, trade execution, and money management practices that may have led to these losses. Trader then meets with two members of the Discretionary Traders Committee to realistically evaluate the trader's most recent activities. A program is then devised to help a trader overcome deficient areas so more efficient trading takes place in the future.

c) Daily risk parameters drop to 1 1/2% per day per sector from 3%. If trader is able to generate a 2% profit off that low mark, back to at least <-8%>, original parameters are reinstated. However, if <-10%> is hit again, the 1 1/2% per day rule kicks in until trader makes back 2%. This forces a trader to delever when in a down cycle, but allows a trader to lever back up after the profit-making trend resumes. It is imperative that a trader learn how to master this process.

C. If trader continues to lose and drops 15% from peak daily NAV, the trader is required to follow these specific rules:

a) Liquidate all positions.

b) Sit out five trading days.

c) Prepare a written analysis evaluating money management practices and execution.

d) Meet with two members of the Discretionary Traders Committee to evaluate weak areas.

e) Reduce daily risk parameters to 1% per day per sector. If trader is able to make 2% from that low mark and is at least back to <13%>, the trader may go back to original parameters; however, if the trader again hits <15%> level, the 1% per day rule kicks in again.

D. If trader continues to lose and drops 20% from peak daily NAV, the trader is required to follow these specific rules:

a) Liquidate all positions.

b) Sit out five trading days.

c) Meet with two members of the Discretionary Traders Committee and thoroughly evaluate the whole trade process.

d) Decide on specific changes that will be made before trading resumes.

e) Reduce risk exposure to 3/4% per day per sector. If a trader is able to make 2% off low mark and is at least back to < 18%>, the trader can lever back up to 1% as long as < 20%> is not violated.

E. If trader continues to lose and drops 25% from peak daily NAV, the trader is required to follow these specific rules:

a) Liquidate all positions.

b) Sit out 10 trading days.

c) Meet with two members of the Discretionary Traders Committee to thoroughly evaluate the whole trading process.

d) Decide on specific changes that will be made before trading resumes.

e) Reduce risk exposure to 1/2% per day per sector. If a trader is able to make 2% off low mark and is at least back to < 23%>, he can lever back up to 3/4% as long as < 25%> is not violated.

F. If a trader continues to lose and drops 30% from peak daily NAV, the trader may want to take a little longer vacation than normal. Depending on historical profitability, the trader may be allowed to begin a new cycle at a substantially reduced equity level.

G. In addition to the rules and guidelines described above, declines from a peak daily NAV of 5%, 10%, 15%, 20%, 25% also result in specific reductions in <u>total overall risk exposure</u>. Each trader is responsible for determining the aggregate overall capital exposure per day and must adhere to the overall volatility exposure schedule below:

| Drawdowns From Peak Daily Nav | Total Volatility Exposure |
|---|---|
| 0 - 14.99% | 15% |
| 15 - 19.99% | 10% |
| 20 - 24.99% | 5% |
| 25- -29.99% | 2 1/2% |
| 30% + | 0 |

We have found it necessary to force traders to sit out of the market when these drawdown levels are reached for many reasons, including the following:

1. They are usually so emotional and angry, time off gives them a chance to cool off, detach from the market, and develop a rational game plan again.
2. This gives them time to evaluate their goals and objectives, reasons for failure (always money management in cases of quick drawdown) as well as their trading methodology.
3. It gives them time to do some psychological self-evaluation, isolating those behaviors that may be sabotaging their success.
4. It gives them a chance to interrupt negative behavior patterns and create new behaviors more conducive to profitable trading.

This whole process is designed to generate a more business-like trading program. It also encourages the self-evaluation process critical to a trader's ultimate success. My experience has been that unless a trader is completely disciplined and approaches each day with a well-developed game plan, ultimate failure is likely. Traders who are likely to succeed over time are those who take complete responsibility for their trades by (1) unit size determination, (2) stop and profit objective evaluation (reward/risk) (3) daily trade re-evaluation and qualification and (4) total risk identification each and every day as a percentage of capital. I believe a more proactive approach is necessary if we are all to become a stronger, more efficient organization.

## 4) TRADING PSYCHOLOGY

### PART I

Traders must never let temporary defeat or setback take them out of the game. Do not let a temporary crisis turn into ruin. It's a part of the game - traders must learn to bounce back from defeat. The key is to transform financial crisis into financial opportunity. Turn all defeats into a challenge. Traders need to make new distinctions that they can take with them so they can make better decisions in the future. They need not let yesterday's crisis become today's mistake. A trader must have absolute faith in his or her ability to bounce back. Successful traders are larger than anything that can happen to them financially. Overcome today's adversity and make it happen tomorrow. The key is to develop the internal structure necessary to support a trader through these rough times.

Traders need to learn to evaluate how they link emotions to every aspect of trading and then eliminate disempowering emotional linkages and reinforce empowering ones. Traders must avoid saying that a negative behavior is okay if in actuality it is really not okay. Traders most avoid justifying negative behavior thereby avoiding success. Traders must realize their day to day actions may jeopardize their trading destiny. Traders need to learn to take solid, consistent, positive action each and everyday based on knowledge and preparation.

Once a trader has learned a method that generates market opportunities with positive expectations and has learned to manage risk through time, he must then learn to manage his emotions in order to take this knowledge to the market for profitable results. Only traders that are able to consistently stay in a resourceful state on a daily basis achieve successful results through time in this business.

Whenever a trader desires change and is truly unhappy about current results, it is important to help the trader find the positive derivative trader is getting out of maintaining self destructive behavior. Isolating this positive derivative is important to understanding why a trader would maintain this behavior and that alone may be enough to eliminate negative behavior pattern. Only then can trader take the appropriate steps necessary to eliminate self destructive behavior and get back on track. The trader needs to identify a more empowering set of techniques or behaviors that can replace negative behavior, so that he or she can get the results they desire.

Successful trading then requires a trader to first, avoid making negative associations in the present tense so that negative behaviors are not reinforced impacting future performance. Secondly, work on eliminating any negative associations or patterns that have already been developed and replace them with more positive associations and behaviors so that future outcomes are impacted positively as well.

Traders must never ease up no matter what degree of success they are experiencing. Do not get lax on your financial responsibilities. Continue to follow through with quality analysis, execution, money management, and state management every single day. Those traders that do well with what they have continue to get more as they grow and expand with each new success.

Traders must get to a point where they must make achievement of their weekly and monthly P/L targets an absolute necessity. Nothing must stand in their way. Let no quality market opportunity slip by. It takes absolute commitment, dedication, belief and discipline on a daily basis to make it happen. The biggest reason traders fail to make money is because they don't follow through. They don't practice the daily fundamentals required for continued success. Successful traders are more committed and more willing to do more and give more than unsuccessful traders. Follow through each day and take control of your financial destiny.

## PSYCHOLOGICAL QUESTIONS

- Do you have a ritual to get you into a peak state, fully prepared to take advantage of market opportunities each and every day?
- Do you have a tendency to get too euphoric after a winning series?
- Do you have a tendency to get too depressed or frustrated following losses?
- Do you have a tendency to carry negative feelings with you into the next trading day?
- Do you have a tendency to avoid taking responsibility for your losses?
- Do you have a tendency to look externally rather than internally to find the cause of problematic trading?
- Do you know how to distinguish between justifiable losses and unjustifiable losses?
- Do you know how to distinguish between justifiable wins and unjustifiable wins?
- Do you have a tendency to emphasize the downside or the upside potential of a trade?
- Do you have a tendency to thoroughly plan a trade and then fail to execute the plan when market reaches your levels?
- Are you satisfied with starting out with a basic position you can maintain for the campaign or do you feel compelled to start with excessive size?
- Do you have a tendency to watch the screen excessively resulting in second guessing or doubting the potential of your position?
- Do you have a tendency to trade your analysis or trade your money?
- Do you have a tendency to get obsessive about a trade strategy?
- Do you try to learn from every trade taken whether the results were profitable or not?

Part 2

The primary emphasis on the psychological aspects of trading are the elimination of fear and self-doubt that can act as a barrier to trading success. Traders are taught to profit from all mistakes by learning how to identify losing behaviors and replacing them with winning strategies.

There are many psychological barriers that can stand in the way of a trader and ultimate success. We will try and focus on some of the more subtle psychological influences that may impact a traders performance. We can not stress enough how important a role emotional self discipline plays in the trading process. This section is designed to focus attention on some of the most common psychological trade barriers we continually encounter that sabotage trading success. Recognition of these potential threats is a strong starting point to helping traders develop and maintain winning habits so critical to a traders long term success.

Below is a list of numerous psychological trading barriers that we encounter on a regular basis.

A) Letting The Past Affect The Present - Often traders get euphoric and careless after a win and then give back substantial profits, or they become frightened and defensive following a series of losses generating self fulfilling negative expectations. This results in trader taking profits too quickly in an attempt to cover previous losses or prevent trader from pulling the trigger and entering quality positions. Traders must learn to approach each day as a new day breaking completely with the past. A trader never knows when that profitable trading run is about to occur.

B) Looking Externally for Causes of Losses - Often traders will abdicate responsibility for their losses. This habit prevents a trader from learning from potential mistakes and perpetuates negative feelings. (i.e. Excessive anger, blaming others, blaming the market.) A trader cannot look externally to find the cause of problematic trading but must learn to look internally and confront potential weaknesses. Only then will a trader find true success.

C) Not Adequately Analyzing Losses - Traders need to distinguish between justifiable losses and unjustifiable losses if they are going to avoid repetition of the same mistakes. Traders that fail to properly evaluate trading results will end up torturing themselves unnecessarily and doom themselves to repeating the same mistakes. Traders need to review trade journals periodically so positive trading habits are reinforced and poor ones can be eliminated.

D) Fear of Losing - If a Trader is overly fearful of losing, he will reinforce this fear by failing to take well developed trades. This will result in total trade paralysis, and likely lead to a habit of making excuses for noninvolvement in the market place. The whole concept of risk control involves skillfully committing risk capital to the market for gain not to avoid losing. Traders must learn to de-emphasize the downside and learn to trust their analysis and good judgement and just let trades happen while staying within pre-established risk control guidelines. Only then will traders ride out their positions and avoid the fear of loss, or fear of leaving money on the table.

E) Overtrading - This can be both a symptom and a cause of psychological barriers. It can be a symptom of greed or desperation when a trader is up or down. It can cause psychological barriers to develop because it puts undo pressure on a trader when risking more than he or she can comfortably lose. The internal pressure that is generated by assuming excessive risk will force a traders hand and cause a mistake of some type to occur. (i.e. Using too tight of a stop, exiting a quality position to aleviate internal pressure, or second guessing analysis.) Traders need to stay within their volatility adjusted unit sizes and learn to regulate risk through time if wealth accumulation is to occur.

F) Trading Analysis Rather Than Money - This occurs when a trader lets his or her ego interfere with trading objectives. When a trader allows the emotional need to prove analysis correct override the true goal of making money serious losses can occur. A fund manager's goal is to make money not predictions. Losing sight of this fact is analogous to a football player running for the sideline rather than the end zone.

G) Getting Emotionally Attached To Positions - Traders must avoid getting married to a single trading idea. This obsession can lead to severe losses if not derailed by a strict money management program. Traders need to allocate a certain percentage of risk capital to any one idea per month and when this bench mark is reached they must take themselves out before serious financial damage occurs.

H) Lack of Discipline and Commitment - This can cause any number of psychological barriers and will lead a trader to believe losses are a result of something other than his or her lack of hard work. Slacking off reinforces the failure cycle and could result in the beginning of a crippling negative spiral. Traders that repeatedly fall into this trap deceive themselves into believing that the markets are difficult thereby displacing their failure, rather than owning up to the poor results. Only traders that are totally committed to trading success, that are disciplined and fully prepared each and every day, will find profitability through time.

I) Trading In A Sub Optimal Mental State - Often traders will treat their vocation like any other job and take profitability for granted. The markets are far too competitive for this type of attitude. Traders need to mentally prepare themselves daily if they are to achieve continued success. Lack of emotional self control has probably destroyed more traders in time. Traders need to get themselves into a peak state fully prepared to take advantage of whatever market opportunity presents itself.

J) Letting Faulty Beliefs Inhibit Trading - Quite often a trader will be restricted in performance by limiting beliefs. These conflicts need to be identified and eliminated when they arise. Unfortunately there is no way to isolate these until they become evident. Here are a few of the common limiting beliefs we have encountered to date:

A) Limiting yourself to a fixed % return per month
B) Believing you can only trade one market (i.e. bonds)
C) Believing you can't trade off the floor, only on the floor
D) Believing you can only trade one type of trade strategy (i.e. I can't trade market reversals, only trend trades).

K) <u>Reinforcing Negative Beliefs Or Behaviors</u> - Traders need to avoid over reacting to a loss or series of losses. To excessively punish yourself everytime a mistake is made can create an enormous amount of negativity and frustration that will carry over into the following trading day. If this disempowered state continues to linger indefinitely, a chain reaction can take place resulting in a losing spiral. Successful traders learn everything they can from a loss, then they detach themselves and move forward leaving it behind. Traders need to master their internal positive dialogue so they avoid reinforcing any of these negative emotions. Rather than saying "How could I have been so stupid?" They need to ask themselves "What can I learn from this trade so future results are positive?" Successful traders <u>do</u> <u>not</u> let their self respect fluctuate with daily performance, rather they believe in themselves and what they are trying to accomplish. They have mastered their emotions and are able to maintain emotional equilibrium.

L) <u>Impatience</u> - Trader impatience is more a function of inexperience than anything else. Novice traders are notorious for taking their trade strategy to the market incorrectly because they believe they will miss out on a move. Poor entry creates unnecessary stress forcing trader out of a quality position before actual analysis is proven wrong, because of the increased risk. This problem usually resolves itself in time.

# PSYCHOLOGICAL EVALUATION SHEET

Those traders who can really look into themselves and realistically evaluate the person that they are, and not become frightened by what they find, those that can address weaknesses and develop plans to overcome those deficiencies are the traders that eventually achieve stellar results. Those traders that become flustered, that get angry when others try and help, that are unable to find reasons internally for their lack of progress will usually peak out early and never achieve great things in the market.

We have talked extensively about the psychology of successful trading and its relationship to the analysis and execution process. We can not stress enough how important a role emotional self discipline plays in the trading process. The psychological evaluation sheet is designed to focus your attention on the psychological aspects of trading. It is designed to help traders develop and maintain winning trading habits so critical to a traders long term success.

We have developed a psychological evaluation sheet that we now use to help traders isolate specific patterns that lead up to negative emotional trading and losses. This study sheet is used to try and isolate the exact steps traders engaged in that led to the negative emotional state they are currently experiencing. A trader needs to become aware of the steps, thoughts and actions taken each day prior to a positive or negative trading result. The trader must then learn to anchor in positive empowering thoughts and behaviors and eliminate the negative thoughts and behaviors. Traders are instructed to determine what they may be doing physically and mentally to create negative disempowering emotions and behaviors. Negative emotional states destroy a traders profitability and can result in a serious losing spiral if not interrupted. Traders need to learn exactly how they are generating their results whether positive or negative. Only a trader that can master his state on a daily basis will find consistent success in the markets.

If a trader consistently experiences an array of negative emotions, a thorough evaluation must take place in an attempt to isolate beliefs or rituals that are causing these emotions. The psychological evaluation sheet is designed to help the trader do just that. A trader needs to think and believe he or she deserves success. A trader needs to stay fixated on positive expectations, on the desired results he or she is working for, and the daily rituals that are required for success. The more positive reference points a trader has, the greater his or her ability to draw upon those positive resources resulting in the positive results they are after.

## PSYCHOLOGICAL EVALUATION SHEET

1. Identify emotions or behaviors that are leading to losing trade patterns.

2. Describe what physical and mental steps you took to get to this state.

3. Discuss what beliefs, attitudes and behaviors may limit the degree of success you are finding as a trader.

4. What will maintaining these emotions, beliefs, attitudes or habits cost you financially, physically and emotionally?

5. What is a more empowering state or trading behavior? What can be done to reinforce more desireable trading behaviors in the future?

6. Describe what you believe to be the most common psychological characteristics of successful traders.

7. Describe what you need to do to interrupt these patterns, both physically and mentally?

8. What methods can be incorporated into your trading program to prevent many of these psychological barriers from occuring in the future?

# GENERAL EVALUATION

1) Describe current results.

2) Evaluate and discuss results in relation to desired outcome.
What type of results are you specifically trying to accomplish?

3) Are you moving toward or away from your goals (financial/trading)?
Are you getting the results you desire?

4) Review and discuss your P/L and identify any positive or negative patterns that are developing. What kind of distinctions are you making?

5) Evaluate your approaches and decide if any changes are needed; especially if you are not getting the results you want. What trading errors must be avoided to get the results you're after?

6) General brainstorming - What specific changes can be implemented to alter current path?

7) Record results and list agenda for change.

# MARKET ANALYSIS QUESTIONS

- o Do you have techniques which clarify and evaluate the major dimensions of the market place, ie: trend, momentum, sentiment and market position?
- o Can you identify the purpose of each technique used in your analytical method?
- o What type of information does each technique generate?
- o Do you take this information and use it to develop a trade strategy?
- o Do you have techniques which determine market expectations in price and time?
- o Do you feel your market expectations are realistic given your current results? ie: are you truly finding 4 to 1 or greater reward to risk situations.
- o Do you have a method to determine where a market is located within a campaign?
- o Do you have specific criteria used to prioritize support or resistant levels?
- o Do you have a method to determine where a market presently exists within a cycle of time?
- o How do you rate the quality of your overall analysis?
- o How consistent is your analysis from day to day?
- o How concise is your conclusion in relation to specific trade strategies?
- o Does your analytical method consistently qualify trade strategies from day to day?

## TRADE EXECUTION QUESTIONS

- o Do you have a method that qualifies entry and exit levels?
- o Given amount of risk assumed are you generating acceptable profits at least 4 to 1?
- o Is your frequency of trade excessive in any one particular market?
- o Do you trade with the trend?
- o Do you trade counter trend?
- o How well defined are entry and exit levels prior to entering the market?
- o Do you use limit orders or market orders?
- o Do you show patience in letting the market come to your levels?
- o Do you understand the relationship between price, time, value and volume in trade facilitation?
- o Do you have a tendency to take advantage of slow markets or do you avoid them?
- o Are you flexible enough to completely reverse your strategy in a moments notice?
- o Do you equate low risk with quality trade selection?
- o Do you tend to buy new high or buy new lows, or sell new highs or sell new lows?
- o Do you have a tendency to react to price or do you anticipate price initiation?
- o Do you have a tendency to jeopardize the profitability of quality positions by trading a number of low quality positions simultaneously?
- o Do you ever let add-ons jeopardize initial position?
- o Do you have a tendency to exit winning trades prematurely?
- o Do you thoroughly plan your trades from beginning to end?

# MONEY MANAGEMENT QUESTIONS

A. Loss Limits/Profit Objectives

o Do you establish daily, weekly and monthly loss limits?

o Do you stick to those limits?

o Do you establish upside profit objectives, daily, weekly monthly?

o Is your average profit 3 to 4 times your average loss?

o Do you have a loss limit per idea; per month?

o Given loss limits in conjunction with current market exposure are you aware of how much risk can be assumed on new positions?

o Do you have a minimum reward to risk ratio that is needed to qualify a trade?

B. Quantity Determination

o Do you trade in multiple units?

o Does your risk (quantity) reflect quality of idea?

o Do you have a method for actually establishing quantity levels?

o Do you feel you are overly aggressive (overtrade)?

o Do you base quantity determination on recent volatility levels?

o Do you feel you are too conservative (undertrade)?

o Do you have a specific process to add to positions?

o Have you established a minimum unit size based on volatility?

o Do you have a maximum unit size allowable per market?

C. How Do You Manage Quantity

o Do you have a predetermined process for exiting part or all of your position?

o Do you have a method which determines stop levels?

o Do you determine time stops as well as price stops?

o Do you look at market correlations when determining total risk?

- Do you have an all or nothing mentality when entering or exiting positions?
- Do you adjust positions according to current sentiment levels?
- Do you re-evaluate open positions daily and adjust quantity according to current reward/risk ratios?

## PSYCHOLOGICAL QUESTIONS

- Do you have a ritual to get you into a peak state, fully prepared to take advantage of market opportunities each and every day?
- Do you have a tendency to get too euphoric after a winning series?
- Do you have a tendency to get too depressed or frustrated following losses?
- Do you have a tendency to carry negative feelings with you into the next trading day?
- Do you have a tendency to avoid taking responsibility for your losses?
- Do you have a tendency to look externally rather than internally to find the cause of problematic trading?
- Do you know how to distinguish between justifiable losses and unjustifiable losses?
- Do you know how to distinguish between justifiable wins and unjustifiable wins?
- Do you have a tendency to emphasize the downside or the upside potential of a trade?
- Do you have a tendency to thoroughly plan a trade and then fail to execute the plan when market reaches your levels?
- Are you satisfied with starting out with a basic position you can maintain for the campaign or do you feel compelled to start with excessive size?
- Do you have a tendency to watch the screen excessively resulting in second guessing or doubting the potential of your position?
- Do you have a tendency to trade your analysis or trade your money?
- Do you have a tendency to get obsessive about a trade strategy?
- Do you try to learn from every trade taken whether the results were profitable or not?

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Contract:____________ Close:____________

20-Day Price Rank:________ Support (1):)________

100-Day Price Rank:________ Support (2):________

Short-Term Trend:________ Resistance (1):________

200-day Avg. Price:________ Resistance (2):________

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**Technical Score (1-30):**________

Stochs:________

RSI:________

McGee/Edwards:________

E/Waves:________

38.2%:________

50.0%:________

61.8%:________

Trendline:________

Volume:________

Open Interest:________

Divergence:________

Gaps:________

Range Exp. Day:________

Analogs:________

Swings:________

Seasonal:________

Cycles________

Other Indicators:________

**Sentiment (Score 1-10):**________

B Rank:________

Phi Rank:________

P/C Rank:________

P/C OI Rank:________

B/C Rank:________

DSI Rank:________

B Divergence:________

P/C Divergence:________

DSI Divergence:________

BC Divergence:________

Index:________

Newsletters:________

**Liquidity (Score 1-25):** ________

CFTC:________

TSI Rank:________

Other Surveys:________

Liquidity Model:________

Supply:________

Demand:

Foreign:________

Domestic: ________

**Value (Score 1-15):**________

Bridgewater:________

Real Yields:________

Consensus:________

Curve:________

Expectations:________

Earnings Yld. Gap:________

Rev. Yld. Ratio:________

P/E Ratio:________

P/BV:________

Div. Yld.:________

Other:________

**Events (Score 1-20):**________

Data:________

Auctions:________

Policy:________

Option Exp.:________

Weather:________

Politics:________

# MANAGEMENT POSITION SHEET

MARKET: ______________________

DATE: ______________________

POSITION RECAP:

| POSITION | STRATEGY | R/R RATIO |
|---|---|---|
| | | |

MARKET EFFICIENCY:

| | | | |
|---|---|---|---|
| 1) MARKET EFFICIENCY | LOW | MED | HIGH |
| 2) SPEED OF EXECUTION – ENTRY | LOW | MED | HIGH |
| 3) SPEED OF EXECUTION – EXIT | LOW | MED | HIGH |
| 4) DEGREE OF PRECISION | LOW | MED | HIGH |
| 5) FREQUENCY OF TRADE | LOW | MED | HIGH |

NOTES OR OBSERVATIONS:

| RISK MANAGEMENT | OPEN POSITION | OPEN POSITION |
|---|---|---|
| A) CURRENT VOLATILITY EXPOSURE | | |
| B) NUMBER OF UNITS | | |
| C) ESTIMATED CLOSING PRICE | | |
| D) MINUS ENTRY PRICE | | |
| E) OPEN PROFIT/LOSS AS A % | | |
| F) ESTIMATED CLOSING PRICE | | |
| G) MINUS CURRENT STOP (AVE) | | |
| H) OPEN RISK AS A % OF CAPITAL | | |
| I) TARGET OBJECTIVE | | |
| J) REWARD TO RISK RATIO | | |
| K) OVEREXTENSION | | |
| L) ALLOWABLE RISK FOR THE DAY | | |
| M) TRADE RISK AVAILABLE | | |

PAYOUT ANALYSIS

A) PAYOUT VALUE
B) AVE. 5-D RANGE
C) MIN. TIC VALUE
D) AVE. FADE VALUE

CLOSE: ______
) ______ ) ______
) ______ ) ______
) ______ ) ______
) ______ ) ______
L S S P>V<P
OX-Y-N P>OR<P

AUTOMATIC LOCKIN LEVELS:

I) MONEY UNIT EXIT LEVEL

a) 1.5 X MIN TIC VALUE: ______ KEY SUPPORT OR RESISTACE AND RANK
b) 1.5 X INITIAL RISK: ______ ______
c) MINIMUM TIC LEVEL: ______ ______ # OF UNITS ______
AVERAGE ______ ______ (P) OR (T) VOL. EXP. ______
MOVE STOP TO: ______
PRE-TARGET ACTION EXIT PRICES: ______

CLOSE: ______
) ______ ) ______
) ______ ) ______
) ______ ) ______
) ______ ) ______
L S S P>V<P
OX-Y-N P>OR<P

II) TRADE UNIT EXIT LEVEL

a) 3 x MINIMUM TIC VALUE ______ KEY SUPPORT OR RESISTACE AND RANK
b) 3 X INITIAL RISK ______ ______
c) 2 X MINIMUM TIC VALUE ______ ______ # OF UNITS ______
AVERAGE ______ ______ (P) OR (T) VOL. EXP. ______
MOVE STOP TO: ______
PRE-TARGET ACTION EXIT PRICES: ______

CLOSE: ______
) ______ ) ______
) ______ ) ______
) ______ ) ______
) ______ ) ______
L S S P>V<P
OX-Y-N P>OR<P

III) TREND UNIT EXIT LEVEL

a) LONG TERM OBJECTIVE ______ KEY SUPPORT OR RESISTACE AND RANK
b) 4 X MINIMUM TIC VALUE ______ ______
c) 5 X MINIMUM TIC VALUE ______ ______ NUMBER OF UNITS ______
d) 6 X MINIMUM TIC VALUE ______ ______

CLOSE: ______
) ______ ) ______
) ______ ) ______
) ______ ) ______
) ______ ) ______
L S S P>V<P
OX-Y-N P>OR<P

PROGRESSIVE STOP OUT LEVELS OR PROGRESSIVE ADD ON LEVELS

| PRICE | Q TRADE UNIT STOP | Q TREND UNIT STOP | AVERAGE STOP | KEY SUPPORT OR RESISTANCE |
|---|---|---|---|---|
| | | | | |
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CLOSE: ______
) ______ ) ______
) ______ ) ______
) ______ ) ______
) ______ ) ______
L S S P>V<P
OX-Y-N P>OR<P